26900184 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours) REGULAR EXAMINATION October 2026

Fifth SEMESTER

Skill Enhancement Course (SEC) - MG5SECECO300 - SECURITY ANALYSIS AND PORTFOLIO MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. IPO refers to: [U] / [CO1]

   a). Initial Public Offering b). Indian Public Organisation

   c). Initial Private Operation d). Investment Portfolio Option

2. The first step in formulating a Portfolio strategy is [A] / [CO2]

   a). Calculating Brokerage

   b). Identifying investment objectives

   c). Selling securities

   d). Selecting stocks randomly

3. Zero-coupon bonds held to maturity have zero reinvestment risk. [U] / [CO3]

   a). TRUE b). FALSE

c). Only if callable

d). Only for corporate issuers

4. Which institution plays the central role in monetary policy in India? [E] / [CO4]

a). SEBI

b). IDBI

c). RBI

d). Commercial Banks

5. Fiscal policy involves changes in: [K] / [CO1]

a). Government expenditure and taxation

b). Stock prices only

c). Corporate dividends only

d). Foreign exchange trading only

6. Interpret a beta value of 1 in CAPM [U] / [CO3]

a). The security has no systematic risk

b). The security has twice the systematic risk of the market

c). The security has the same systematic risk as the market

d). The security is risk-free

7. Which phase of fundamental analysis examines national growth rate,interest rates and inflation? [U] / [CO2]

a). Company analysis

b). Technical analysis

c). Economic analysis

d). Industry analysis

8. Asset-Backed Securities are backed by: [U] / [CO3]

a). A pool of assets

b). Government taxation

c). Gold

d). Common stock

9. Nifty 50 represents: [K] / [CO1]

a). 30 securities

b). 40 securities

c). 50 securities

d). 100 securities

10. Which statement best describes strategic asset allocation? [An] / [CO2]

a). Avoiding diversification to maximise returns

b). Investing exclusively in the best performing security

c). Establishing a long-term target allocation among different asset classes

d). Changing thre portfolio every day based on market movements

11. The four main constituents of the Indian financial system are: [U] / [CO1]

a).	b).	c).	d).
Banks, NBFCs, Insurance companies and Mutual funds	Financial institutions, financial markets, financial instruments and financial services	RBI, SEBI, IRDAI and PFRDA	Money market, capital market, forex market and commodity market

12. Which of the following is not normally considered an investment constraint? [U] / [CO2]

a). Liquidity b). Tax considerations

c). Expected market return d). Time Horizon

13. If market interest rates fall below a bond's coupon rate, the bond will sell at: [U] / [CO3]

a). Par Value b). A Discount c). A Premium d). Face Value

14. A hanging man candle stick pattern when formed in the bottom or in a downtrend is called as [U] / [CO2]

a). piercing line b). shooting star

c). hammer d). drangonfly doji

15. The annual interest payment on a bond is known as: [K] / [CO3]

a). Premium b). Yield

c). Coupon d). Dividend

[1x15 = 15]

Part B

Short Answer Type questions

Answer any **10** questions

Each question carries **2** marks

16. What is discounted cash flow analysis? State its basic principle. [K] / [CO1]

17. Why is risk assessment important in security selection [A] / [CO2]

18. Distinguish between coupon rate and market interest rate. [U] / [CO3]

19. What is a derivative instrument? [U] / [CO1]

20. State the primary methods used to construct a passive index portfolio. [A] / [CO2]

21. What is meant by the coupon rate of a bond [K] / [CO3]

22. What is meant by a financial benchmark? [K] / [CO4]

23. Briefly explain the concept of industry analysis. [U] / [CO2]

24. What is the role of depositories in the structure of the Indian capital market? [U] / [CO1]

25. What is the relationship between Random Walk Model and Effecient Market Hypothesis? [An] / [CO2]

26. An investment has two possible returns of 8% and 18%, with probabilities of 0.4 and 0.6 respectively. Calculate the expected return. [U] / [CO1]

27. What is an Investment Policy Statement? [K] / [CO2]

28. How does the Single Index Model simplify portfolio analysis compared with the Markowitz model? [K] / [CO4]

[2x10 = 20]

Part C

Short Essay Type questions

Answer any **3** questions

Each question carries **5** marks

29. Explain the cyclical indicator approach to security analysis. [K] / [CO1]

30. What is Markowitz Portfolio Theory? [A] / [CO2]

31. Explain the major monetary variables that influence the security market. [K] / [CO1]

32. Analyse the importance of trading indicators and explain its functions. [An] / [CO2]

33. Explain the Arbitrage Pricing Theory (APT) and describe the role of multiple systematic risk factors in determining security returns [U] / [CO3]

[5x3 = 15]